

HOUSE No. 521

The Commonwealth of Massachusetts

PRESENTED BY:

Antonio F. D. Cabral

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to transparency and accountability in charter school finance.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Antonio F. D. Cabral</i>	<i>13th Bristol</i>	<i>1/9/2025</i>
<i>Joanne M. Comerford</i>	<i>Hampshire, Franklin and Worcester</i>	<i>2/24/2025</i>
<i>James B. Eldridge</i>	<i>Middlesex and Worcester</i>	<i>6/12/2025</i>
<i>Carmin Lawrence Gentile</i>	<i>13th Middlesex</i>	<i>11/25/2025</i>

HOUSE No. 521

By Representative Cabral of New Bedford, a petition (accompanied by bill, House, No. 521) of Antonio F. D. Cabral and Joanne M. Comerford relative to transparency and accountability in charter school finances. Education.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE HOUSE, NO. 439 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to transparency and accountability in charter school finance.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Section 89 of chapter 71 of the General Laws, as appearing in the 2022 Official Edition,
2 is hereby amended by striking paragraph (ff) and inserting in place thereof the following:

3 (ff) Commonwealth charter schools shall be funded as follows: the commonwealth shall
4 pay a tuition amount to the charter school, which shall be the sum of the tuition amounts
5 calculated separately for each district sending students to the charter school. Tuition amounts for
6 each sending district shall be calculated by the department using the formula set forth herein, to
7 reflect, as much as practicable, the actual per-pupil spending amount that would be expended in
8 the district if the students attended the district schools. The tuition amount shall be calculated
9 separately for each district sending students to a charter school, and for each charter school to
10 which a district sends students. Each district's per pupil tuition amount for each charter school to

which it sends students shall include a per pupil foundation budget component, adjusted to reflect the actual net school spending in the sending district.

In calculating the per pupil foundation budget component, the department shall calculate a foundation budget for the students from each sending district attending the charter school in the previous fiscal year, pursuant to the provisions of section 2 of chapter 70; provided, that the department shall not include in the said calculation the assumed tuition-out special education enrollment, nor any amounts generated by said assumed enrollment, as defined by said section 2. The per pupil foundation budget component shall be the district's foundation budget for the charter school, as so calculated, divided by the number of students attending the charter school from the sending district in the previous fiscal year. The per pupil foundation budget component shall be calculated separately for each charter school to which a district sends students. The foundation budget for a charter school shall be the sum of the foundation budgets for the charter school for each district sending students to the charter school.

In adjusting the per pupil foundation budget component, the department shall calculate for each sending district an above foundation spending percentage, which shall be the percentage by which the district's actual net school spending exceeds the foundation budget for the district, as calculated pursuant to the provisions of chapter 70. The department shall further calculate the percentage of actual net school spending reported by the sending district associated with tuition costs for tuition-out special education students, including education that occurs in educational collaboratives, and with spending on health care costs for retired employees, for any district for which such costs are included in net school spending, and shall reduce the districts above foundation spending percentage proportionately. The per pupil foundation budget component for

each charter school to which the sending district sends students shall be increased by said adjusted above foundation spending percentage.

The total tuition amount payable by a sending district to a charter school shall be the per pupil tuition amount as defined above, multiplied by the total number of students attending the charter school from that district in the current fiscal year. The total charter school tuition amount for purposes of the following paragraphs shall be the sum of the district's amounts for each charter school to which the district sends students, calculated using the provisions of this section. The receiving charter school's total charter school tuition amount shall be the sum of the tuition amounts calculated for the charter school attributable to each district sending students to the charter school.

If a charter school student previously attended a private or parochial school or was home-schooled, the commonwealth shall assume the first-year cost for that student and shall not reduce the sending district's chapter 70 aid for that student's tuition in that fiscal year.

The state treasurer is hereby authorized and directed to deduct the local share of the total tuition amount payable to a charter school, as calculated herein, from the state school aid, as defined in section 2 of said Chapter 70, of the district in which the student resides prior to the distribution of said aid. For the purpose of calculating the local share amount to be deducted, the total per student foundation budget component for a district, before any adjustment, shall not exceed the statewide average per student minimum required local contribution as defined in section 2 of said Chapter 70 or as otherwise determined for any fiscal year and the amount of any adjustment attributable to above foundation spending shall not exceed the statewide average above foundation spending amount. In the case of a child residing in a municipality that belongs

to a regional school district, the local share of the charter school tuition amount shall be deducted from said chapter 70 education aid of the school district appropriate to the grade level of the child. If in a single district, the total of all such deductions exceeds the total of said education aid, this excess amount shall be deducted from other aid appropriated to the city or town. If in a single district, the total of all such deductions exceeds the total state aid appropriated, the commonwealth shall appropriate this excess amount; provided, however, that said district has exempted itself from the provisions of said chapter 70 by accepting section 14 of said chapter 70, the commonwealth shall assess said district for the said excess amount.

The state treasurer is hereby further authorized and directed to disburse to the charter school an amount equal to the charter school's total charter school tuition amount as defined above.

If more than 1 charter school is managed by a single network or board of trustees, funding shall not be transferred among individual schools within the network unless such schools are located in the same school district.

The department shall, subject to appropriation, provide funding to charter schools for a portion of the per pupil capital needs component included in the charter tuition amount and shall reimburse the sending school districts for said costs. In fiscal year 2011 and thereafter, such funding shall not be less than the per pupil amount provided in fiscal year 2010.

In the event of a charter school closing or eliminating grade levels as required by the board, the school district shall retain chapter 70 allotments for the students who attended those grade levels in the previous year.